

IN SEARCH OF A GOVERNANCE INSTITUTION MODEL FOR JAKARTA METROPOLITAN AREA (JMA) UNDER INDONESIA'S NEW DECENTRALISATION POLICY: OLD PROBLEMS, NEW CHALLENGES

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SUMMARY

This study explores a possible governance model for Jakarta Metropolitan Area (JMA) under Indonesia's new Decentralisation Policy. At present the management of JMA development is coordinated by *Badan Koordinasi Pembangunan Jabodetabekjur* (BKSP) —Coordinating Board for JMA Development, but this agency is ineffective and powerless to perform its tasks because of lack of authority and power. The establishment of JMA governance model should take into account the existence of the BKSP which has been politically accepted by all provincial and local governments in the region. Involvement of central government in JMA governance is very important. A mixed model of urban governance is most suitable for the JMA. Thereunder the central government should have authority to plan and develop major physical infrastructure for the whole JMA, while the provincial and local governments retain their respective general administrative functions. Copyright © 2008 John Wiley & Sons, Ltd.

KEY WORDS — Governance; decentralisation policy; Jakarta Metropolitan Area

INTRODUCTION

This study is concerned with a governance model for Jakarta Metropolitan Area (JMA), the largest concentration of urban population and economic activity in Indonesia. It is not a new issue, but under Indonesia's new decentralisation policy the challenges for urban governance are even more daunting. This policy has made the local governments in the JMA socio-economically and politically fragmented as has happened in other large cities in Indonesia. Metropolitan regions are usually characterised by both externalities and socio-economic, environmental and political administrative interdependences among local government jurisdictions in the region (Bird and Slack, 2007, p. 736).

The study will examine options for metropolitan governance in the JMA. The questions addressed in this study are the extent to which regional autonomy and fiscal decentralisation reform have affected the development of JMA and the kind of metropolitan governance institutions that need to be established for a competitive and effective JMA development in the future. Cheema (www.arabgov-initiative.org/publications/public_service/cheema.pdf) defines governance broadly as:

The system of values, policies and institutions which a society manages its economic, political and social affairs through interactions within and among the state, civil society and private sector. It is how a society organises itself to make and implement decisions, mediate differences, and exercise legal rights and obligations, [and] comprises the rules, institutions, and practices that set limits and provide incentives (pp. 3–4).

Governance is much more complex than government. According to the UNDP (2002), governance as a concept recognises that power exists inside and outside the formal authority and institutions of government, including civil

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society and the private sector, and that decisions are made based on the complex relationships between many stakeholders with different interests and priorities. In contrast, government refers to specific institutions or entities that deliver services to certain geographical areas according to its functions, as stated in the constitutions of each state (pp. 13; see also Shah, 2005).

One of the objectives of governance is to promote vibrant and environmentally sustainable communities. According to Freire (2007) there are two great challenges in urban and regional governance. The first of these is competitiveness, economically. The second is the quality of a life which is an important element of competitiveness.

Reform of urban and regional governance institutions is absolutely critical to sustainable development. Stubbs and Clarke (1996, 93) maintain that what is needed for institutional improvement of extended metropolitan areas is the development of new forms of coordination and the resolution of metropolitan policy issues at the macro and micro levels which traditional local governments cannot provide alone.

According to Montgomery *et al.* (2004, 407) the key institutional challenges in urban governance include the allocation and distribution of authority; capacity development; financial improvement, notably on local revenue generation; and dealing with issues of inequality. However, as Prud'homme (1996, 123) argues, 'the more democratic the country, the more difficult it is to make local government work together as they have equal political legitimacy, while the leaders want to satisfy their own constituents in order to be elected.'

The Indonesian Parliament passed Law 22/1999 and 25/1999 concerning regional autonomy and fiscal decentralisation in May 1999. These laws are aimed primarily at curbing separatist sentiments in the outlying provinces of Indonesia. At the end of 1990s and early 2000 these could have potentially broken up Indonesia into several small tiny countries. Both legislations were then amended in 2004 and became Law 32/2004 and 33/2004 respectively but this did not change the main objectives.

The essence of Indonesia's decentralisation policy reform is a shift of several government functions, responsibilities, and tasks from central to local government, in which the local government, including Provincial, Districts (Kabupaten) and Municipalities (Kota), will have a greater role in several important functions. Therefore, the reform could potentially change the pattern of urban and regional development and governance (see Firman, 2003).

Indonesia's Law of Development Planning System (Law 25/2004) and Law of Regional Government (Law 32/2004) do not explicitly stipulate procedures for Metropolitan planning and management. Nevertheless, at present the management of development of the JMA is coordinated by the BKSP (*Badan Koordinasi Pembangunan Jabodetabekjur* —a Coordinating Board for the JMA Development) established in 1975. However, this agency seems to be powerless to perform its functions, owing to lack of authority (see Dharmapatni and Firman, 1995). The problem becomes even worse in the context of decentralisation, as the real power rests local governments in the JMA. This region is politically and administratively very fragmented, just as in many other Asian countries (see also Laquian, 2005b).

The main part of this article is divided into five parts. Part one discusses decentralisation and metropolitan governance to provide a conceptual framework for the study; part two describes the characteristics and current development of the JMA; part three examines Indonesia's new policy on decentralisation and its impacts on JMA's development; part four critically assesses the need for possible governance institutions for the JMA.

DECENTRALISATION, REGIONAL DEVELOPMENT, AND METROPOLITAN GOVERNANCE

Owing to the failure of centralised planning for economic development, many developing countries have started in the 1970's to decentralise responsibility for socioeconomic development, planning and management to local agencies and local government (Freire and Stern, 2001; Freire, 2007).

There is no single framework for decentralisation portable between countries. This is owing to contextual differences in each terms of the local politics, history, geography, culture and socioeconomic. Experience shows that a decentralisation policy can be successfully implemented only if it is clearly defined and if its scope is limited to reallocating functions among units of the central government (Cheema and Rondinelli, 1983, 296).

Decentralisation also has to be implemented with caution, otherwise it risks undermining its own goals. As Azis (2003) argues in the context of Indonesia, the greatest risk of decentralisation is perhaps the vulnerability of local government to capture by local elites and collusion amongst and corruption by local interest groups. These are usually stronger at local than that at national levels.

Vogel (2005) maintains that the development of large metropolitan regions in the world has raised issues and concerns about how to manage them in a democratic and effective way. Especially critical is the challenge of how to structure local and regional government to ensure effective metropolitan planning, coordination and development. Decentralisation implies that the capacity of metropolitan governments needs to be strengthened and should be carefully managed. Talukder (2006, 71–102) proposes several principles for metropolitan governance in developing countries: a geographical area that covers the extended metropolitan region; a coordination mechanism to ensure the integration between planning and development; and strong links to the national government system in order to obtain political support.

As Laquian (1995, 239) maintains, the governance of metropolitan regions is expected to result in the meeting of four requirements of the better quality of urban life. These are: (1) efficiency in the delivery of urban services; (2) equity in the urban society; (3) economic development and (4) environmental sustainability. As Laquian further argues, there are four types of metropolitan governance arrangements: (1) autonomous local governance in which authority lies with local government—for planning, policy making, and the execution of government functions; (2) confederated regional governance in which several local governments make cooperative arrangements on several area-wide functions to be executed at metropolitan level, but they retain local authority, such as the Metro-Manila Development Authority; (3) a mixed system of regional governance in which national and provincial government share powers with local governments in the implementation of public functions, such as the Bangkok Metropolitan Administration; and (4) unified regional governance in which the whole metropolitan or mega-urban region is under a jurisdiction of one single governing institution (Laquian, 1995:223–224). (See also Laquian, 2005b, 2008; Montgomery *et al.*, 2004, Chapter 9, pp. 355–409).

Bird and Slack (2007, 731–736) outline additional dimensions of metropolitan governance: one-tier and two-tier authorities; voluntary cooperation and special-purpose districts.

The one-tier model can take two forms, a series of small fragmented municipalities in a metropolitan region and a large consolidated municipality for the whole region. The latter is formed either by amalgamation or annexation. The two-tier model consists of an upper tier governing agency, covering a large geographical region and a lower level tier of municipalities. The voluntary cooperation model refers to wide area agency formed on the basis of voluntary cooperation between the local governments with no permanent institutional status. Special or single-purpose districts are often used to deliver services that cut across various municipal boundaries.

Canada is an example of a country which has practiced various types of metropolitan governance over the past 50 years (Sancton, 2005, 319), including: annexations/mergers of one municipal government into a metropolitan area (Calgary and Halifax); two-tier metropolitan government (Winnipeg); amalgamation of two-tier metropolitan systems into a single municipality (Toronto and Ottawa); de-amalgamation of Quebec's metropolitan areas, including Montreal and the creation of flexible and innovative entities for metropolitan governance (regional districts in British Columbia).

According to Prud'homme (1996, 97–129), metropolitan governance involves three levels of coordination. First, there is internal coordination, that is, coordination between the public and private sectors, between formal and informal mechanisms, and between politicians and professionals. Second, there is vertical coordination, which includes central government interventions and division of tasks. Third, there is horizontal coordination, which includes metropolitan-wide interventions and mechanisms. Nevertheless, territorial metropolitan governance in many Asian countries is often characterised by vertical and horizontal conflicts (see Friedmann, 1999).

As argued, there is no single ideal model for a good urban governance. It should be tailored to particular socioeconomic and political contexts, but flexible enough to adapt itself to rapid socioeconomic changes (OECD, 2000; DiGaetano and Storm, 2003; Mossberger, 2007). Some Asian countries have implemented structural governance reform by establishing a unified governance system or two-level and multi-level metropolitan structures. These are often resisted by local governments, who might have to cede some of their prerogatives to the

metropolitan authority, especially over financial matters. Likewise, national government agencies are also reluctant to release their power and responsibilities to a new authority (Laquian, 2005a: 307–308 & 311). Nevertheless, the two-tier model of metropolitan governance is the most popular because it is considered as having an inherent logic that helps to resolve conflicts within local government (Williams, 1999, p. 172).

Having experienced ineffective implementation of two- and multi-tiered metropolitan governance, some metropolitan areas in Asia have been put under a unified government structure with jurisdiction over large city regions. These include Tokyo, Beijing, Seoul, Osaka and Tianjin, where the jurisdictional boundaries had been expanded to incorporate cities, town and villages on their periphery. Metropolitan-wide public services include transport, water and sewerage disposal (Laquian, 2005a, 310). In fact, unified metropolitan governance has resulted in positive effects and impacts on metropolitan governance. An example is Tokyo Metropolitan Authority which had managed to formulate, adopt and implement a comprehensive development plan for the City of Tokyo and the peripheral areas (Laquian, 2005a, 311).

JAKARTA METROPOLITAN AREA

The Jakarta-Metropolitan Area (JMA) comprises 10 administrative units at different levels. First, there is the Jakarta Special Region (DKI Jakarta), which has provincial government level status. Second, there are eight municipalities (Kota) and districts (Kabupaten), namely the municipalities of Bogor, Depok, Tangerang and Bekasi, and the districts of Bogor, Tangerang, Bekasi and Cianjur. The districts and municipalities of Bogor, Depok, Bekasi and Cianjur are within the jurisdiction of Provincial Government of West Java, whereas the districts and municipality of Tangerang belong to the Provincial Government of Banten, which is a new Province that separated from the Province of West Java in the early 2000s (Figure 1). The total population of JMA was about 19 million in 2004, while the population of Jakarta City was about 8.4 million.

The JMA has been the most attractive area for both domestic and foreign investments in Indonesia, owing to its concentration of skilled labour, entrepreneurs and a large market (Firman *et al.*, 2007). The cumulative approved foreign investment in manufacturing, finance and other sectors in Jakarta City had reached US \$16,759.3 billion over the period from 2000 to 2005 (CBS, 2006), which accounted for nearly one-fourth of total approved foreign investment in Indonesia at this time. Economic activities in the JMA were hit hardest during the economic crisis at the end of 1990s and early 2000s, resulting in closures of manufacturing, banking, property and service firms and a great contraction in the rate of economic growth. However, the JMA's economic situation has now been much improved.

Jakarta City had a Gross Regional Domestic Product (GRDP) as much as Rp. 61,736.5 billion in 2004. This makes Jakarta's GRDP/capita nearly Rp. 7 million, which is equivalent to US \$ 689 (Table 1). The rate of economic growth of cities and districts in the JMA ranged from 4.7 to 6.3% per annum over the period of 2001–2004, whereas the JMA's total annual rate of economic growth reached 5.1% over the period 2000–2003 (Alisjahbana, 2007). It is one of the major metropolitan areas (a kind of 'global city') in Southeast Asian (Firman, 1998).

It should be borne in mind that the JMA is situated in a watershed, with two main rivers, Ciliwung and Cisadane. This has implications for coordinated management. Most of the areas in the JMA face water shortages in the dry season and floods in the rainy season. It should also be noted that the primary and secondary forest areas, paddy fields, gardens and estates in the south of the JMA (Bogor-Puncak and Cianjur) declined substantially over the period 1994–2001. About 8,000 hectares of forests were converted for residential and other uses. This in turn had resulted in negative environmental impacts in the area, including severe flooding in Jakarta City during the rainy season, and soil erosion, subsidence and landslides in many parts of the JMA.

The JMA can physically be divided into three areas (Soegijoko *et al.*, 2007). First, there are the predominantly urban areas, i.e. those which have been socio-economically and physically incorporated into the core of Jakarta City. Second, there are the semi-urban areas, i.e. the areas dominated by large land-consuming activities, including large-scale housing areas and industrial estates. Third, there are potential urban areas where early land conversion takes place.

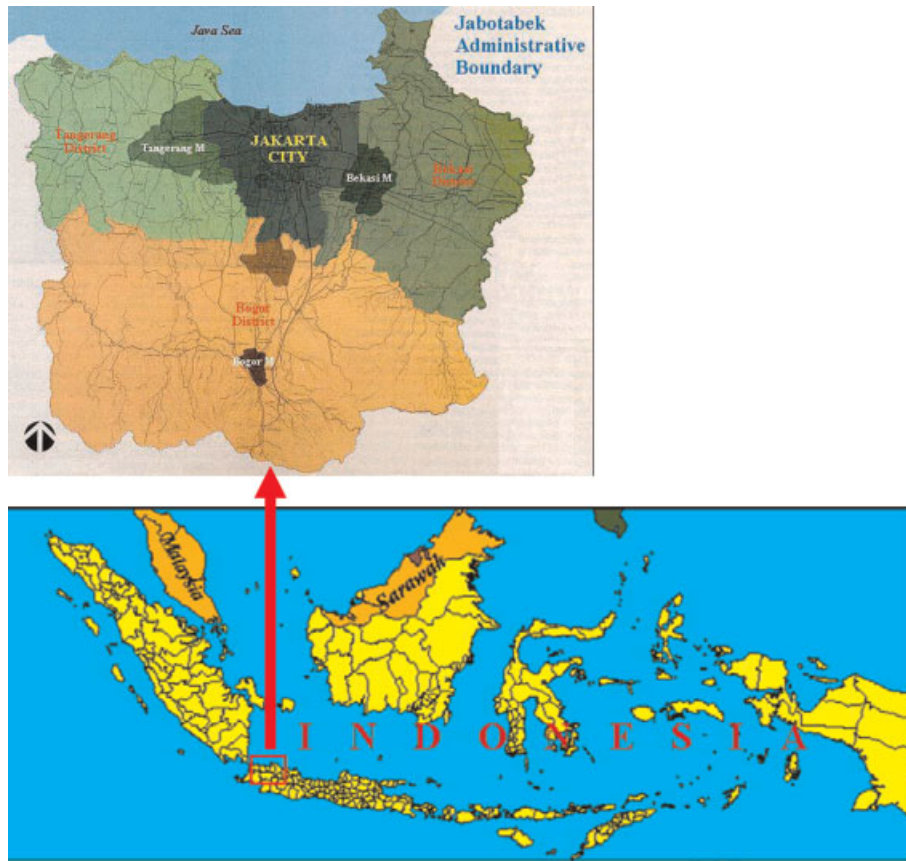


Figure 1. Jabotabek region provinces: (1) DKI Jakarta province; (2) Banten province: (i) Tangerang district and (ii) Tangerang municipality; (3) West Java province: (i) Bogor district, (ii) Bogor municipality, (iii) Bekasi district and (iv) Bekasi municipality. *Source*: Rustiadi, 2007. This figure is available in colour online at www.interscience.wiley.com/journal/pad

Table 1. Gross regional domestic products (GRDP) of districts (kabupaten) and city (kotas) in Jakarta Metropolitan Area, 2004

Area	GRDP (in billion rupiah) in 2004	Annual rate of GRDP growth 2001–2004 (in %)	Number of population in 2005 (in thousand)	GRDP/Capita (in million rupiah)
Jakarta city	61,736.5	5.26	8,839.2	6,984.4
Bogor district	21,889.6	4.69	3,829.0	5,716.7
Bekasi district	37,658.4	5.34	1,983.8	18,983.0
Tangerang district	15,094.1	5.18	3,259.1	4,361.4
Cianjur district	6,567.8	5.01	2,079.8	3,157.9
Bogor city	3,361.6	5.91	891.5	3,770.7
Depok city	4,333.8	6.17	1,374.9	3,152.1
Tangerang city	20,150.1	5.41	1,451.6	13,881.3
Bekasi city	9,069.5	5.84	1,993.5	4,559.5

Source: Central board of statistics, 2006.

DECENTRALISATION POLICY IN INDONESIA AND ITS IMPACT ON URBAN AND REGIONAL DEVELOPMENT IN JMA

Decentralisation is not a new idea in Indonesia. It has been in vogue (though more as a slogan) since 1945. As far as urban and regional development in Indonesia is concerned, decentralisation is needed for the effective and efficient provision of infrastructure and public services. Until very recently, this task has been largely the responsibility of central government which was often poorly organised. This resulted in ineffective and inefficient provision of services that have not necessarily met local needs. Moreover, the dominance of central government over these functions has weakened the local authorities' ability to provide infrastructure and services to the local communities (Firman, 2003; see also Rondinelli, 1990, pp. 6–7).

As of early 2008, progress of decentralisation implementation has been patchy. Some local governments have performed better in fulfilling local development management, notably in public service provision, while others have done even worse. This has been particularly where officials are involved in corruption and bribery. It should also be noted that the division of functions between central and local government is still unclear. This makes the progress of decentralisation implementation in Indonesia slow (see also Brodjonegoro, 2006). Only in the mid-2007 did the government launch Government Regulation (*Peraturan Pemerintah*) no. 38 covering the division of governmental responsibilities between central, provincial and local government.

The new regional autonomy and fiscal decentralisation laws have the potential for making urban and regional development in Indonesia, including in the JMA, more locally managed. This would imply both planning and implementation according to local needs by local authorities and communities. This has created great expectancy on the part of many local governments over what they believe are now their new found 'kingdoms of authority', with resources available at their exclusive disposal, without need to consider the larger areas in which the Kabupaten and Kota are located. The challenge is however that they do not know precisely how to use these new found regional development resources, especially for improving public service provision.

As Azis (2003,2) maintains, 'letting the local government do their own planning and development in a decentralised system could undermine the potential economic externalities' which in turn could be counterproductive to the original objectives of decentralisation (p. 2). As has happened in many other Kabupaten and Kota in Indonesia, the new decentralisation policy has brought about a tendency of local government in the JMA to exploit local resources more intensively, including land, water and other physical assets, in order to maximise their own income (*Pendapatan Asli Daerah* - PAD). Kabupaten Bogor and Cianjur, for instance, continue to allow developers to develop the temperate and beautiful scenic area of Puncak Strip (Jalur Puncak) for tourist resorts, villa and residential areas, despite the fact the area has been designated as a conservation area due to its role in water supply. Indeed the local governments receive some financial benefits from development permits granted to the developers. However there is a danger of this attitude in turn bringing negative environmental consequences for the downstream areas, notably Jakarta City—that is, flooding in the rainy season and water scarcity in the dry season. Moreover, as Azis (2003, 5) argues, in some regions, including in the JMA, limited PAD, excessive charges imposed by the local government to raise revenue have resulted in a burden on the private sector, which in turn could weaken the economic competitiveness of the regions.

During the Suharto era (1966–1997), this was not a problem, because the powerful central government could take over and create a political solution to the problem. The provincial and local government simply obeyed and implemented the central government's decision without complaint. Now, the situation is completely changed, as the local government has its own power to decide on what and how to develop their own region almost without central and provincial government intervention.

Under the new law on Fiscal Decentralisation, the annual local government revenues, including those in the JMA, will consist of an equalisation grant from the General Allocation Funds (*Dana Alokasi Umum*—DAU, Table 2). This will substitute for the central government grants, most notably Presidential Decree Grants of the past, natural resources utilisation revenues, notably fisheries, forest products and oil and gases; a revenue sharing income from land and building taxes and employee taxes; own income (*Pendapatan Asli Daerah*—PAD); and a special allocation fund (*Dana Alokasi Khusus*—DAK) to be granted by the central government to any districts on the basis

Table 2. General allocation fund (DAU) and gross domestic regional product (PDRB) of local governments in Jakarta Metropolitan Area (JMA), 2001–2006 (billion rupiah)

Local Gov.	DAU			PDRB
	2001	2003	2006	2000
Jakarta city	773.0	734.9	768.1	189,075.4
Bekasi city	211.6	256.5	420.3	8,875.6
Bogor city	168.7	197.4	302.5	2,671.6
Depok city	167.2	209.5	313.2	3,489.1
Bekasi district	235.4	231.2	284.9	30,267.2
Bogor district	479.6	517.1	807.6	10,597.8
Cianjur district	335.6	389.8	675.9	5,221.6
Tangerang district	313.1	367.0	508.0	12,196.8
Karawang district	220.0	328.0	532.1	7,314.9

of special need. The local governments receive the total amount of the grant from the central government based on the ‘fiscal gap’, that is, the difference between estimated expenditure and revenue capacity. The essence of this new fund transfer is basically in the equalisation grant (DAU) which is aimed at helping reduce central–local financial imbalances. It is basically an unconditional block grant given to the local government which can be utilised according to local needs without the intervention of central government. At present, DAU and income sharing revenue constitute between 70 and 80% of local government revenue in Indonesia. Obviously natural resource rich districts get high income sharing and perhaps much more than they need, but poor districts only get lower income transfers.

THE NEED FOR A JMA GOVERNANCE INSTITUTION: OLD PROBLEMS, NEW CHALLENGES

The JMA is a compact urban region that should be managed as an inseparable region through an integrated spatial development plan (*Rencana Tata Ruang*). This would ensure the sustainable development of the region, even though it consists of Kabupaten and Kota that have their own planning powers. In the current era of regional autonomy and decentralisation, coordination seems to be a much more complicated matter and difficult to do. What is needed is thus good collective leadership of local government, including West Java, Banten and Jakarta Provincial government, as well as the central government. They should have a shared vision how to develop the region through the cooperation of all stakeholders, and clear policies for the institutional development of the JMA.

The JMA needs to improve its competitiveness as a ‘Global City’ in Asia. The biggest challenge is how to establish an appropriate governance mechanism which can optimise the potential of this metropolitan area. Laquian (2008, 19) argues that inclusive mega-urban region development can be achieved:

- (a) by closely integrating rural and urban areas within the mega-urban region;
- (b) by including all levels of local government in the city region in planned development and governance schemes; and
- (c) by integrating all urban infrastructure and services in area-wide networks (p. 19).

General Ali Sadikin was the first to propose the regional development of Jakarta and its surrounding areas in the early 1970s (Silver, 2008). Subsequently, Jakarta’s former Governor General Sutowo reiterated the need for the development of an integrated ‘Megalopolitan Jabodetabekjur’ covering Jakarta City, Bogor City, Depok City, Bekasi City, Tangerang City, Bogor District, Bekasi District, Tangerang District and Cianjur District as a solution to regional development problems in the area. General Sutowo raised this issue at the same time as the National Legislature (*Dewan Perwakilan Rakyat—DPR*) was debating the revision of Law 34/1999 concerning the Jakarta Special Capital District (*Daerah Khusus Ibukota Jakarta*). As a result, officials and local leaders in West Java and

Banten Provinces vigorously challenged the idea. They accused Sutiyoso of having the intent to expand the jurisdictional Jakarta area and encroach on some areas in Bogor–Tangreang–Bekasi–Cianjur. This, it was suggested was with an eye to the position of Minister for the JMA Development in the future. Whilst personal ambition may have been a factor, his idea is worth considering. In fact, some local governments, including Districts (Kabupaten) Bogor, Tangerang and Bekasi and Kota (municipality) Bogor, Tangerang and Depok support Sutiyoso's idea, as they feel neglected by the Provincial Government of West Java and Banten (Zulkaidi, 2006). West Java's provincial government objected to Sutiyoso's idea because if Kabupaten Bogor, Bekasi and Cianjur and City of Bogor, Bekasi and Depok are surrendered to the authority of the JMA, they could potentially lose income (PAD) by as much as Rp. 12 trillion per year.

The authoritarian central government of the Soeharto era was reluctant to give authority to the provincial and local governments for fear of losing control over provincial and local governments. This was even more so for the Provincial Governments of Jakarta, West Java, Banten, and the local governments in the areas constituting the JMA, where the central government is housed, because the central government wanted to have as much control over the area as possible. In fact, in the past, urban and regional development in JMA was greatly under the control and direction of the central government through presidential grant allocation (*Inpres*) and ministerial programs (Firman, 2003). This is one of the reasons why the capacity of the provincial and local governments in the JMA has been so weak in dealing with local urban and regional development.

BKSP (Cooperating Body of JMA Development) is a jointly established body by the Provincial Government of West Java and the Special Capital Government of Jakarta in 1975. Its tasks are to coordinate plan, implement and monitor development in the JMA. The establishment of BKSP was then reinforced by the Decree of Ministry of Internal Affairs No. 29 in 1980, and later by the Decree No 125 of Ministry of National Planning and Head of National Planning Agency in 1984. This institution is headed jointly by the Governors of West Java, Banten and Jakarta, but day-to-day operations are managed by an executive secretary appointed by Governments of West Java, Banten and Jakarta for 5 years in rotation. Membership of the BKSP consists of the Governor of the provincial government and heads of district government (*Bupati*) and heads of municipalities (*Walikota*) within the JMA.

The BKSP has now become a forum of coordination among the provincial and local governments in the JMA including the Provincial Government of West Java, Banten and Jakarta; the city government (*Pemerintah Kota*) of Bogor, Tangerang, Bekasi and Depok; all municipalities within Provincial Government of Jakarta and the District Governments (*Pemerintah Kabupaten*) of Bogor, Tangerang, Bekasi dan Cianjur. Uniquely, however, BKSP does not have any authority over the implementation of development in the JMA. The authority lies with each provincial and local government in the area. This makes BKSP powerless and ineffective in coordinating development programmes in the JMA. Further, BKSP does not have its own staff and financial resources, as it is greatly dependent on contributions from the Provincial Governments of Jakarta, West Java and Banten. BKSP has four divisions: (1) development division, in charge of spatial planning, housing and infrastructure; (2) economic division dealing with transportation, small and medium enterprises, manufacturing, trade, mining and investment; (3) government and public welfare division, in charge of population, safety and security, health, education and manpower; (4) general (internal) division, dealing with financial and programming matters, facilities and the BKSP employees.

There is a growing need to set up a body that can plan, coordinate and supervise the implementation of a development programme for the JMA across provincial and local jurisdictional boundaries in a more effective way. BKSP might not be able to effectively perform such a formidable task.

Establishing a single authority for the JMA would involve three Provincial governments and eight local governments, including four Districts and four municipalities, just like the Tokyo Metropolitan Area (Laquian, 2005a and Vogel, 2005). This seems to be out of the question at present due to strong political tensions especially among the provincial governments. These tensions might be counterproductive to the purpose of undertaking a more integrated and coordinated approach to JMA development. The Law of Regional Government (Law 32/2004 opens up the possibilities of mergers for the whole or part of the region as well as the proliferation of districts and municipalities. The establishment of a single authority for the JMA could mean that the Legislature (DPR) has to cancel all local government establishments in the JMA and then pass the law of establishment the authority. Obviously, this would not be a feasible solution to the problem, because it could raise many complaints, strong resistance from several parties,

especially from the provincial governments of West Java and Banten and key stakeholders such as the local elites and communities at large, and might potentially create tensions and conflicts amongst the same.

Another option is to establish a two-tier regional municipality, with executive and legislative functions. A model here would be Greater Vancouver in Canada in which the metropolitan area is headed by a Mayor who has to work with a regional municipality council consisting of directly elected councils and representatives of each municipality's council (see Laquian, 2005a; Zulkaidi, 2006). Whilst it works well for the Greater Vancouver, it might not necessarily work for the JMA simply because the Indonesian law of Regional Government (Law 32/2004) does not recognise such a regional municipality system.

The establishment of a JMA governance mechanism should nevertheless take into account the existence of the BKSP. This has been politically accepted by all the provincial and local governments in the region. Moreover, the recently promulgated Law 29/2007 regarding the status of Jakarta as the Capital of the Unitary State of Indonesia, stipulates that the Provincial Governments of Jakarta, West Java and Banten along with the local governments bordering with Jakarta City can cooperate under an interregional cooperating body. This is established on the basis of agreement among them (article 27). The law also explicitly states that the cooperation should be primarily focused on planning, utilising and controlling spatial development (*Tata Ruang*) for Jakarta City and its surrounding areas (JMA), which should be coordinated by the central government through related ministries, including Ministry of Public Works, the National Planning Agency and Ministry of Internal Affairs (article 29).

Given the complexity of the JMA's problems, the functions of any effective governance mechanism should emphasise common development tasks, most notably transport system, spatial development (*tata ruang*), watershed planning and implementation and solid waste management.

Involvement of the central government in the JMA's governance will be very important, not the least because Jakarta is the national capital. According to Einsiedel (1999) national capital territory management will need a voice at the highest level of government (pp. 135–136; see also Stubbs and Clarke, 1996, p. 93 and Talukder, 2006, p. 104). Second, infrastructure development in the JMA will need huge financial resources, beyond the capabilities of all provincial and local governments in the metropolitan area. Therefore, the most suitable governance model for JMA is a mixed model, in which central, provincial and local governments play very important roles in the governance of the region, in line with Law 29/2007. However, the establishment of the BKSP as a mixed approach to JMA governance would be most effective if it is given a proper legal framework (*undang-undang*). This approach would also be more in line with the principle of subsidiarity. Thereunder, the stress on finding the level of government best suited to undertake certain functions, bearing in mind the need for more transparency and accountability to stakeholder interests, particularly the NGO and private sectors.

The BKSP should be given the authority to plan and develop major physical infrastructure for the whole, notably transportation systems, spatial development, watershed management, and solid waste management, while the provincial and local governments need to cede their authority over the above functions. However they should still retain their authority over local government administration. This would imply that the BKSP, as a metropolitan authority, will need central government involvement in it. It should be in-charge only of planning, implementation and monitoring of major JMA infrastructure development. This does not mean the creation of new level of government. Rather it enhances the power of the BKSP within the corridor allowed by the new Law of Regional Government and Law of Status of Jakarta as the National Capital to assure overall development plan coherence and relevance to the JMA (for comparison see also Talukder, 2006, Laquian, 2005a). With new law on fiscal decentralisation, the provincial governments of Jakarta, West Java and Banten and 11 local governments in the JMA are supposed to have more financial resources from the central government to help finance BKSP activities. With regard to other local government administration functions, the BKSP should only conduct coordination, as the real authority remains with the local government. This means that the BKSP should be headed by a central government officer.

CONCLUSIONS

This study has explored the options for a governance institution for the JMA. Admittedly it is not a new issue, but in Indonesia's new era of decentralisation policy the challenges are even greater. Now every local government in

Indonesia, including in the JMA, has their own discretion in deciding policy and implementation of urban and regional development in their area. They are no longer required to enter into consultation with the neighbouring local governments and provincial governments. The JMA is a compact urban region that should be managed under an effective metropolitan governance institution to ensure the sustainable development of the region. There is a strong case for an effective governance mechanism for the JMA to improve the competitiveness of this metropolitan area as a 'Global City' in Asia.

Indonesia's decentralisation policy reform is intended to shift several government functions, responsibilities and tasks from the central to the local government domain. The policy has encouraged local governments of the JMA to exploit local resources even more intensively, including land, water and other physical assets in order to maximise their own income (*Pendapatan Asli Daerah*), without giving consideration to the socioeconomic and political conditions of the region. This could in turn discourage investment in the JMA.

As indicated earlier, the present management of development of the JMA is coordinated by BKSP—a Coordinating Board for JMA Development established in 1975. However, this agency is simply ineffective and powerless to perform its tasks, because of lack of authority. The establishment of a JMA governance structure nevertheless needs to take into account the existence of the BKSP which has been accepted by all the provincial and local governments in the region. This is also a parallel in the Law 29/2007 regarding the status of Jakarta as the Capital of the Unitary State of Indonesia. This emphasises the need for a cooperation between the Provincial Government of Jakarta, West Java and Banten along with all local governments bordering with Jakarta City under an interregional cooperating body. A JMA governance mechanism should be developed on the basis of agreement and common interests among themselves.

Involvement of the central government in JMA governance will be necessary, because first, Jakarta, the core of JMA, is the national capital; and second, the physical infrastructure development in the JMA will need huge financial resources, beyond the capabilities of all provincial and local governments. As Laquian (2008, 19) maintains, mega-urban region development strategy needs the involvement of all types of governance structure, from small town, districts, municipalities, provincial agencies and agencies of national government.

Given the complexity the JMA problem, the functions of a JMA governance mechanisms at present should focus on general aspects, most notably the transport system, spatial development (*tata ruang*), watershed planning and implementation, and solid waste management. This will obviously need the involvement of several central government ministries including the Ministry of Public Works, the National Planning Agency and the Ministry of Internal Affairs.

The mixed model of urban governance is the most suitable for the JMA, in which the central, provincial and local governments play very important roles in the management of the area. The central government should have the authority to plan and develop major structures of physical infrastructure for the whole JMA, while the provincial and local governments need to cede their authority over the above functions, but still retain their full authority over the local government administration. This model has the potential to enhance the power of the existing BKSP, given the flexibilities allowed by the new Law of Regional Government and law of the status of Jakarta as the National Capital.

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